The Global Startup Economy in Numbers based on TrustMRR

Made with GAMMA

1,000 Startups, 65 Countries, $13.5M MRR

1,000

Startups Analyzed

Revenue-generating companies across all verticals

65

Countries

Global coverage across all continents

$13.5M

Total MRR

Monthly recurring revenue across the full dataset

500K

Active Subscribers

500,597 paying customers globally

32.7M

Monthly Visitors

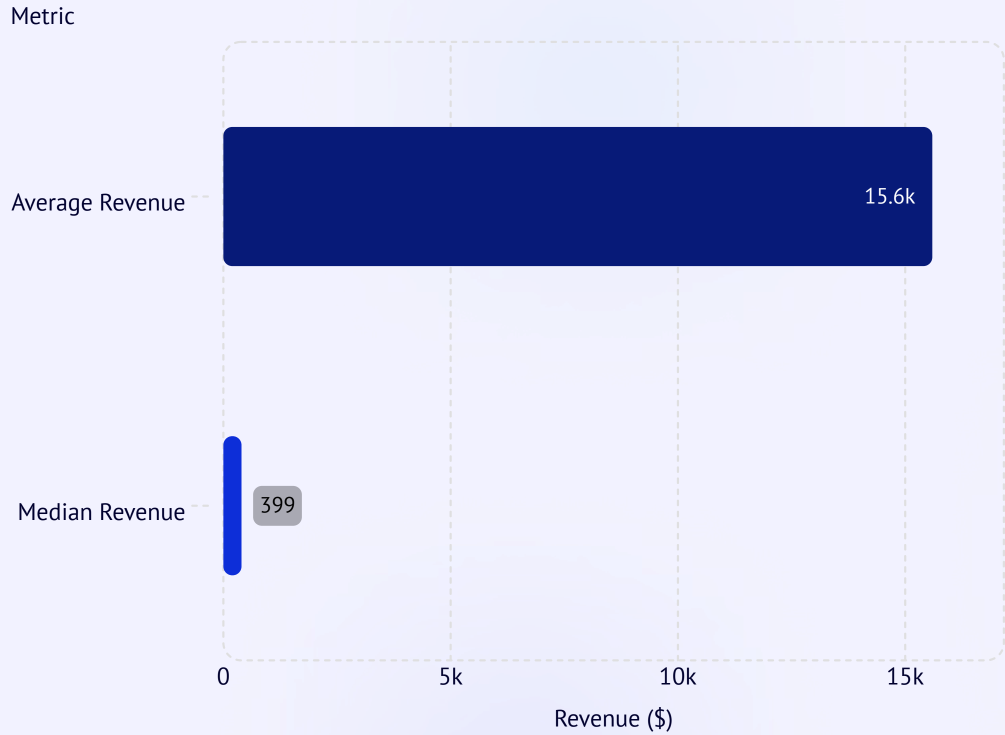
Aggregate web traffic across all startups

The Power Law: 39× Gap Between Average and Median

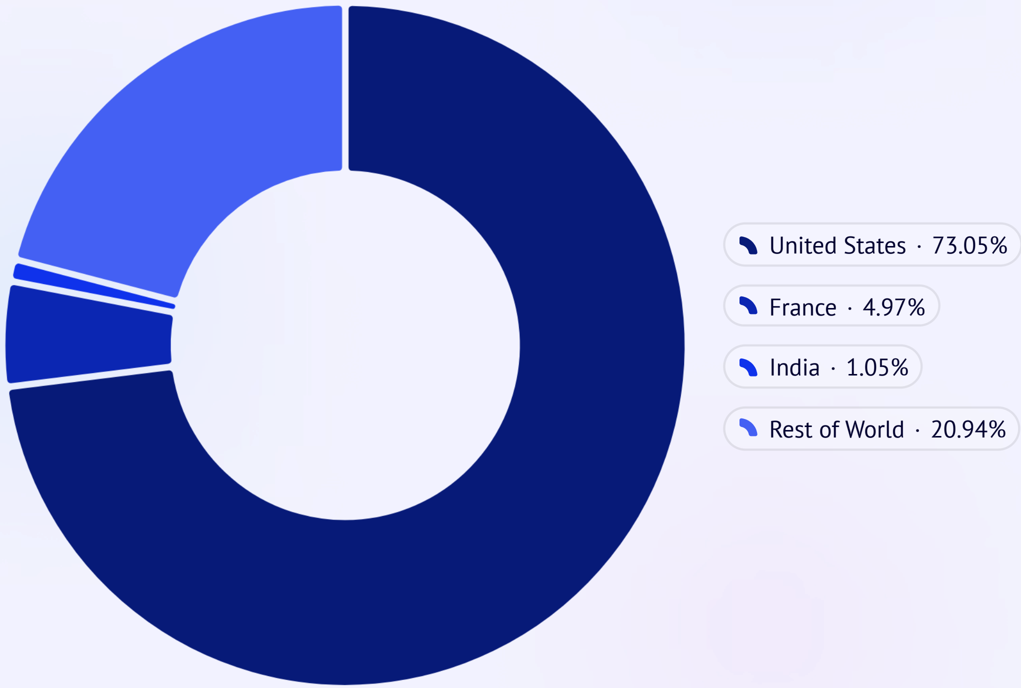
The most important number in this dataset is not the total – it's the spread. A **39× chasm** between average revenue ($15,596) and median revenue ($399) is the defining structural reality of this market.

This is not noise. It is the power law operating at full force. A tiny fraction of companies generate the overwhelming majority of revenue. The median startup earns less than $400 per month.

Investor Insight: Returns are concentrated entirely in statistical outliers. The job of a VC is not to pick good companies – it is to identify the handful of outliers before the market does.



The US Dominates: 63% of Revenue from 26% of Startups

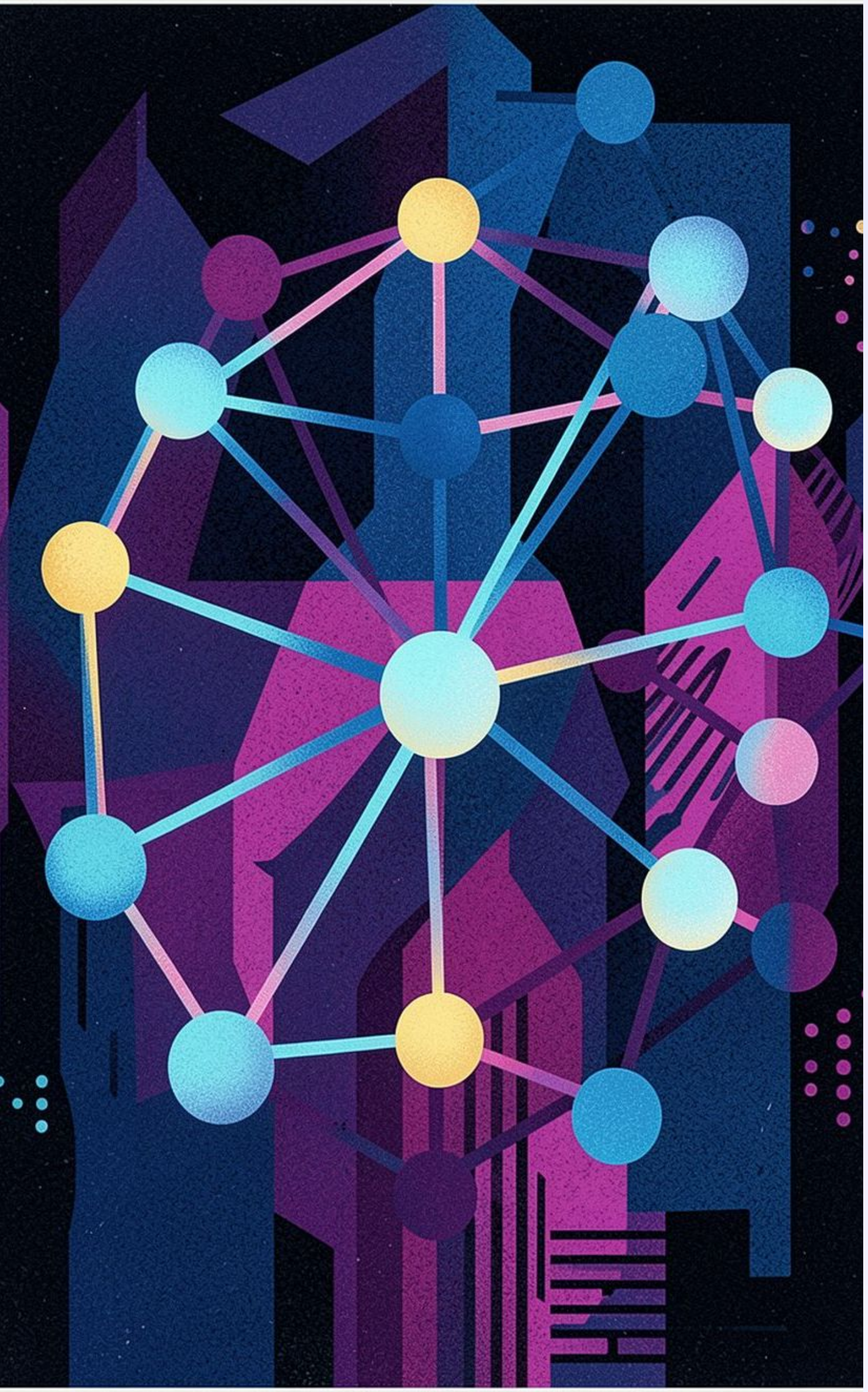


Geographic Concentration

With **258 startups** generating **$9.84M in revenue**, the US accounts for 63% of global startup revenue while representing only 25.8% of companies in the dataset.

- **France:** 79 startups, $669K — the second-largest ecosystem, punching above its weight
- **India:** 59 startups, $141K — high founder density, significantly lower monetization efficiency
- **64 other countries** share the remaining ~24% of global revenue

Geographic alpha is real. US-based startups monetize at roughly **4× the rate** of non-US peers.



AI Dominates Startup Formation and Revenue

AI Startups

197 companies – 19.7% of all startups. The single largest vertical in the dataset by formation count.

AI Revenue

$2.36M total revenue (15% of global) and **$1.81M MRR** (13.4% of total MRR).

Marketing Sector

Generates **disproportionately high revenue** relative to company count – a monetization efficiency outlier worth tracking.

Investor Watch

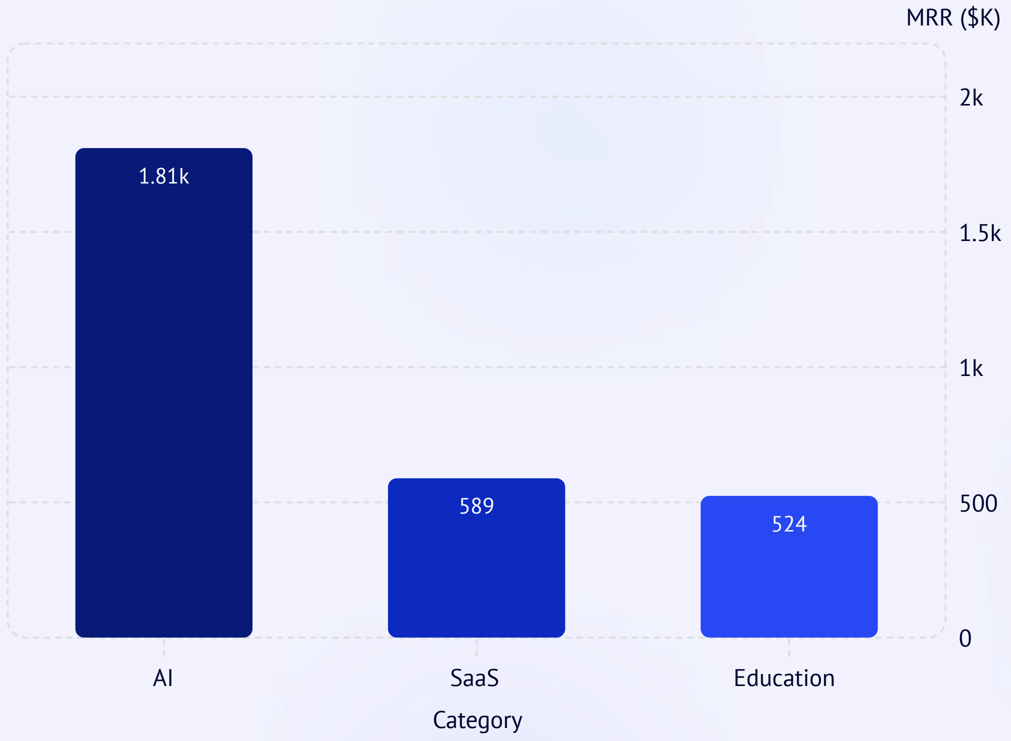
AI leads on formation but lags on revenue share – signaling **early-stage saturation** and unproven monetization at scale.

Recurring Revenue Beats One-Time Sales

The Subscription Signal

At **$13.47M MRR** representing **86% of 30-day revenue**, this dataset is overwhelmingly subscription-driven. A revenue-to-MRR ratio of **1.16×** confirms that most companies rely on recurring, predictable cash flows rather than transactional sales spikes.

Recurring revenue is the clearest single predictor of long-term business quality available to an early-stage investor. It signals retention, pricing power, and customer commitment.



Top 3 categories by MRR — AI leads by a wide margin, followed by SaaS and Education.

Traffic ≠ Revenue: Monetization Efficiency Matters

32.7M Monthly Visitors

Aggregate web traffic across all 1,000 startups — a massive top-of-funnel that sounds impressive until you run the math.

$0.48 Revenue per Visitor

Less than fifty cents per visit. Large audiences without conversion infrastructure are **expensive distractions**, not moats.

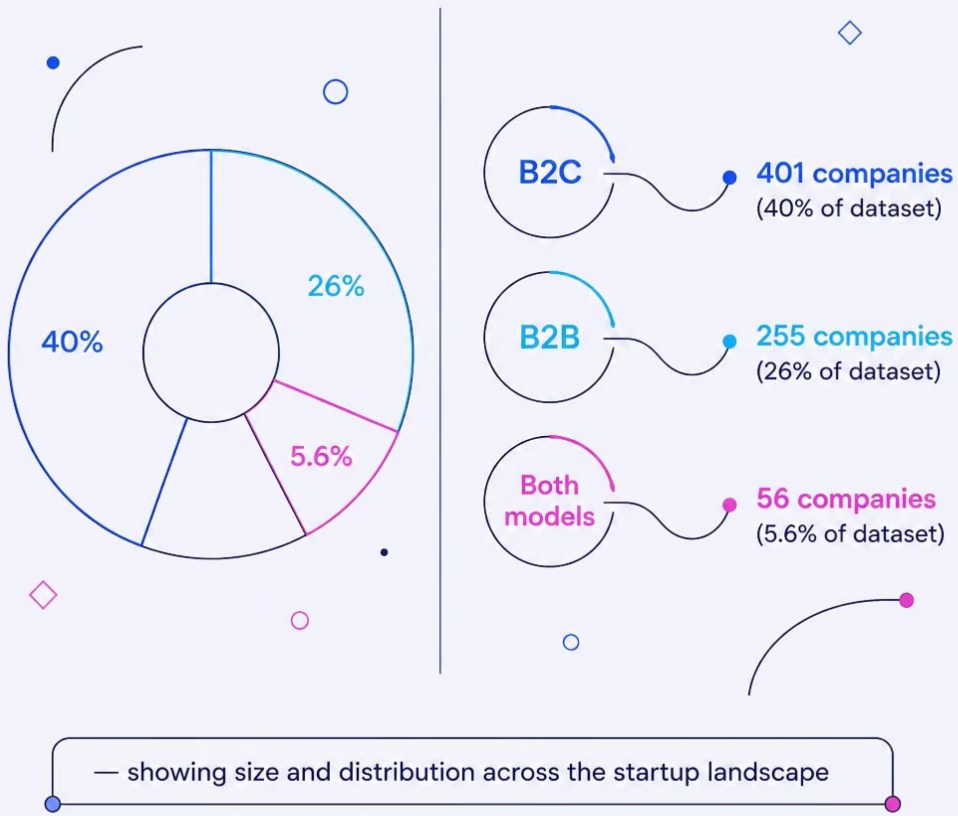
$31.16 Revenue per Subscriber

Subscribers monetize at **65× the rate** of anonymous visitors. The conversion funnel is where value is created or destroyed.

The Efficiency Mandate

Prioritize startups with **high revenue-per-visitor ratios** and strong visitor-to-subscriber conversion over raw traffic volume.

Business Model Economics: B2C vs B2B



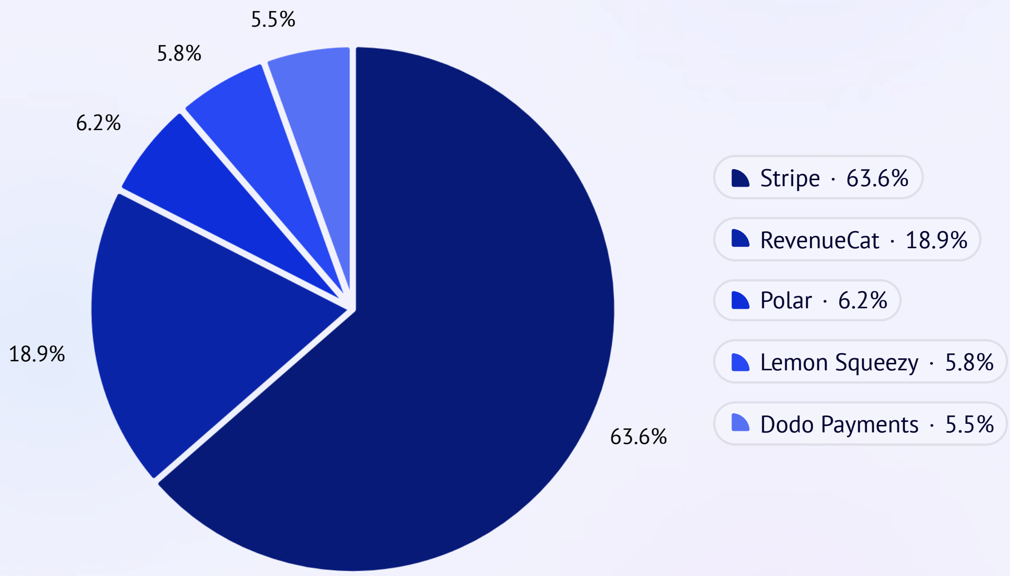
What the Split Tells Us

B2C companies dominate by count — 401 startups targeting consumers vs. 255 targeting businesses. Yet the revenue story tells a different tale.

- **B2B** startups consistently achieve higher revenue-per-customer and longer retention cycles
- **B2C** requires massive scale to generate equivalent revenue; most never reach it
- **Hybrid models** (56 companies) often signal product-market fit evolution

Winner: Subscription-first models with demonstrated retention — regardless of B2B or B2C label.

Stripe Owns the Infrastructure Layer



Platform Concentration as a Signal

Stripe commands 63.6% market share — used by 636 of 1,000 startups. This is not merely a payments story; it is an infrastructure maturity story.

- **RevenueCat (18.9%):** The dominant layer for mobile subscription businesses — a meaningful niche with structural advantages
- **Polar, Lemon Squeezy, Dodo Payments:** Combined 17.5%, representing emerging challengers in developer-native and international markets

Ecosystem concentration at the infrastructure layer reflects a **winner-take-most dynamic**. Startups deeply integrated with Stripe inherit its network effects and tooling velocity.

Valuation Multiples: Separating Hype from Value

The Core Question

Do high multiples reflect **recurring revenue quality** — or speculative positioning? In a dataset dominated by subscription models, the answer should be knowable.

AI Risk

Premium AI valuations may significantly **exceed cash flow quality**. 197 AI startups generating 15% of revenue signals multiple compression ahead for the median player.

SaaS Opportunity

High MRR with **moderate multiples** = superior risk-adjusted returns. SaaS at $589K MRR with disciplined pricing is the quiet compounder in this dataset.

Education Advantage

Stable recurring revenue at $524K MRR with **lower downside risk**. Education is structurally undervalued relative to its cash flow predictability.

Hidden Patterns: Outliers and the Investment Thesis

Where the Returns Live

The Pareto principle operates with brutal precision in this dataset. The **top 10% of startups drive the majority of revenue** — and within that cohort, a smaller group of monetization and growth outliers determine portfolio returns.

The Investment Thesis

Ignore the median. The power law is not a flaw in the data — it **is** the data. Concentration of returns in outliers means portfolio construction must optimize for outlier identification, not diversification across the median.

Screen for: **high MRR/revenue ratio** · **revenue per subscriber above $30** · **subscription-first model** · **US or France domicile** · **Stripe or RevenueCat infrastructure**.

The 39× gap between average and median is your alpha. Close it before the market does.

Monetization Outliers

High revenue per visitor, relatively low traffic — these companies convert with precision and are systematically underweighted by vanity-metric investors.

Growth Outliers

High growth rate combined with high MRR = venture-scale opportunity. This intersection is rare — fewer than 5% of startups qualify.

Undervalued Sectors

Strong cash flow, modest valuations, and durable recurring revenue — Education and vertical SaaS remain the most compelling risk-adjusted positions in this dataset.

Investment Risks: Key Downside Scenarios

Understanding potential pitfalls is crucial for mitigating exposure and identifying resilient opportunities within the dataset.

AI Saturation & Valuation Compression

Risk: A high volume of AI startups (197) generating only 15% of total revenue indicates a crowded market. Premium valuations may soon compress for undifferentiated players.

Mitigation: Prioritize AI companies with clear, defensible moats and strong, demonstrable unit economics beyond market hype.

Traffic-Heavy, Low-Monetization Models

Risk: Significant web traffic (32.7M visitors) yielding only $0.48 revenue per visitor. Large audiences without effective conversion are value traps.

Mitigation: Favor startups with high revenue-per-subscriber and robust visitor-to-subscriber conversion funnels over raw traffic volume.

Geographic Concentration Risk

Risk: Over-reliance on specific geographic markets, particularly the US, creates vulnerability to localized economic downturns or regulatory shifts.

Mitigation: Diversify geographically or conduct deep-dive analyses on region-specific market dynamics for concentrated portfolios.

Infrastructure Dependency (Stripe)

Risk: Extreme reliance on a single payment processor, with Stripe holding 63.6% market share. Changes in platform policy or fees could impact a large portion of the portfolio.

Mitigation: Assess the stability and long-term strategy of critical infrastructure providers, and evaluate companies for payment diversification or contingency plans.

Overpriced Cohorts & Valuation Risk

Risk: Certain sectors or cohorts may command inflated valuations due to investor sentiment, leading to lower potential returns upon market correction.

Mitigation: Apply rigorous valuation methodologies focused on sustainable cash flow and competitive advantage, rather than chasing market momentum.

Final Investment Thesis: Recurring Revenue Wins

1. **Core Principle**

   Long-term value is built on **predictable cash flow**, not just raw scale or user count.

2. **Winning Traits**

   Prioritize strong MRR, efficient monetization, subscription-first models, and defensible multiples.

3. **Market Insight**

   Venture returns follow a power law; **exceptional outliers** with these traits drive portfolio performance.

4. **Allocation Strategy**

   Invest in businesses that master converting users into high-quality, recurring revenue streams.

Investment Opportunities: Deploying Capital for Alpha

Translating data insights into actionable investment strategies requires identifying specific characteristics that signal long-term potential. We focus on areas that have demonstrated resilience, growth, and superior monetization.

1

High-Quality Revenue

Prioritize **high-MRR, subscription-first startups** with proven retention and exceptional monetization efficiency (high revenue per visitor/subscriber).

2

Strategic Tech Sectors

Target **AI infrastructure, vertical SaaS, education tech, and developer tools** – these areas show robust demand and scalable growth trajectories.

3

Geographic Alpha

Focus on markets with established startup ecosystems and consistent outperformance, such as the **US and France**.

4

Infrastructure Integration

Invest in companies deeply integrated with critical platforms like the **Stripe ecosystem**, benefiting from inherent network effects and operational leverage.

The goal is to identify outliers by combining quantitative metrics with a qualitative understanding of market dynamics and platform advantages.